GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL / INTT - AT ..... Examination

Group No. 2 Paper No. 6

Subject IBS

Number of Answer Books used : Main + 5 additional sheets

Date Seal

For use by ICAI only

818322

18 MAY 2025

Paper Code: L R P

Question Booklet No.

Level of Exam: Final ● INTT AT ② Paper No. ① ② ●

Pl.ensure to answer the MCQs relevant to questions as attempted in the descriptive answer book.

QUESTION - 1

	A	B	C	D
1.1		●		
1.2			●	
1.3			●	
1.4		●		
1.5		●		

QUESTION - 2

	A	B	C	D
2.1				
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QUESTION - 3

	A	B	C	D
3.1	●			
3.2		●		
3.3			●	
3.4	●			
3.5		●		

QUESTION - 4

	A	B	C	D
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4.2		●		
4.3			●	
4.4	●			
4.5		●		

QUESTION - 5

	A	B	C	D
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5.3		●		
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[redacted]ark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers	
CORRECT METHOD	WRONG METHOD
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Answer - 4.6

Q. 4.6 Computation of Input Tax Credit

Particulars	₹
i. Capital Goods (As per Section 16(2)(a), invoice is required to take credit of tax paid, thus ₹10,000 is reduced)	80,000
ii. 5 Lots Inputs (As per proviso to Section 16, where goods are received in lots/installment, credit is available on receipt of last lot/installment)	-
iii. Travel Benefits (As per Section 17(5)(ab), credit on travel benefits extended to employees is available where it is obligatory due to any law)	110,000

iv. Machinery -
(As per Section 16(3) of CGST Act, 2017 where depreciation has been claimed on tax component under Income Tax Act, 1961, credit shall not be allowed)

v. Repair Services 70,000
(As per Section 17(5)(d), services for construction of immovable property, if capitalized is blocked. Repair services are expensed)

Total Credit Available. 260,000

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Answer - 4.7

Q. 4.7.

In case where parent's auditor is not auditor of all components included in consolidated financial statements (CFS), auditor of CFS should consider requirements of SA 600 'Using the Work of Another Auditor'.

As prescribed in SA 706 'Emphasis of Matter paragraph and other Matter paragraph in the Independent Auditor's Report' if auditor considers it necessary to make reference to audit of other auditors, auditor's report on CFS should disclose clearly magnitude & portion of financial statement audited by other auditors. This may be done by stating aggregate rupee amounts or percentages of total assets, revenue and cash flows of

Components included in CFS not audited by parent's auditor.

It should be included in Other Matter paragraph of independent auditor's report.

In this case, Other Matter Paragraph is under :-

We did not audit the financial Statements and other information in respect of 6 subsidiaries whose financial statements include total assets of ₹2500 crore, total revenue of ₹1500 crores and net cashflows of ₹15 crores for the year ended 31 March 2025.

These financial statements and other information have been audited by other auditors and have been been furnished to us by management of Holding Company.

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Our opinion on the consolidated financial Statements, in so far as it relates to amounts & disclosures of these subsidiaries is based solely on reports of such other auditors'.

Two of these subsidiaries are located outside India and their financial statements have been prepared in accordance with accounting principles generally accepted in their respective countries and audited by other auditors.

Holding Company's management has converted the financial statements to accounting principles generally accepted in India.

We have audited these conversion adjustments made by holding company.

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Our opinion in relation to these financial statements in based on report of other auditors and conversion adjustments prepared by management & audited by us.

Our opinion is not modified in respect of above matters with respect to our reliance on work done & reports of other auditors and statements certified by management.

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Answer- 4.8

4.8.

(A) Computation of Capital Gain

Full Value of Consideration	190,00,000
(-) Transfer Expense	
Net Consideration	190,00,000
(-) Cost of Acquisition (Indexation benefit is not available as sold after 23 July, 2024)	(36,60,000)
~~Co~~ Long Term Capital Gain	153,40,000
(-) Exemption u/s 54B (It is assumed that urban agricultural land has been used by Rohit or his parents for agricultural purposes 2 years before transfer) (Further, Rohit has acquired agricultural land)	(80,00,000)

Long Term Capital Gain 73,40,000

(B) Capital Gain on Sale on New Land bought on 31/8/24

Agricultural Land is situated in remote village having population of 9000, i.e. less than 10,000. Thus, it is not located in any urban area.

Therefore, such land is rural agricultural land.

Rural agricultural land is specifically excluded from defination of capital asset u/s 2(14) of Income Tax Act, 1961.

Thus, as there is no transfer of capital asset, Section 45(1) does not apply.
There is no capital gain.

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(C) Buy-back and Capital Gain

As per Section 2(22)(f) of Income Tax Act, 1961, any payment by company or buy back of shares shall be treated as deemed dividend in hands of shareholder and is taxable under 'Income from Other Sources' w.e.f 1 October 2024.

As amount received on buy-back is after 1 October 2024, Section 2(22)(f) is applicable.

Thus, ₹900,000 will be taxed as Income from Other Sources.

Further, as buyback is treated as extinguishment of rights thus, there is a transfer of capital asset u/s 2(47).
Computation of Capital Gain is as follows:-

Full Value of Consideration	Nil
↳ Cost of Acquisition (6000 × ₹25)	(150,000)
~~Short~~ Long Term Capital Loss	(150,000)

Further, this Long Term Capital Loss can be set-off against Long Term Capital Gain computed on sale of Land in (A) above.

∴ Long Term Capital Gain (Net)

= 73,40,000 - 150,000

= ₹ 71,90,000.

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Answer- 5.8

Q.
5.8.

As a strategic consultant, following measures would be suggested to defend against hostile takeover :-

Divestiture :- Target company can divest or spin off some of its business in form of independent subsidiary reducing attractiveness of existing business to HVB Group.

Crown Jewels :- Surgical Equipments can sell its crown jewels.

Poison Pill :- Company makes itself unattractive to potential bidder. It may issue substantial amount of convertible debentures to existing shareholders to be converted at future date, when faced by

takeover threat.

Poison Put :-

In this case, target company issues bonds that encourage holder to cash in at higher prices. The resultant cash drainage would make target unattractive.

Greenmail :-

This is an incentive offerred by target company to potential bidder for not pursuing takeover. It may offer acquirer higher price of its share than market price.

White Knight :-

Target company offers to be acquired by friendly company to escape takeover.
The motive is to not lose management as hostile acquirer may change

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management.

White Squire :-

This strategy is same as white knight and involves sell out of shares to company not interested in takeover.
Consequently, management of target company can retain control.

Golden Parachute :-

Company offers hefty compensation to managers if it get outsted due to takeover.

Pac-man Defense :-

Aims at target company making counter bid to acquirer company.

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Answer- 5.7

Q. 5.7

As per Rule 138(1) of CGST Rules

Wherever there is movement of goods of consignment value exceeding ₹ 50,000

i) in relation to supply
ii) for reason other than supply or
iii) due to inward supply from unregistered person.

registered person who causes movement of such goods shall furnish information relating to said goods as specified in Part A of form GST EWB-01 before commencement of such movement.

In case of movements other than supply, movement is occassioned

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by means by delivery challan which necessarily contains value of goods. Value given in delivery challan shall be adopted in e-way bill as per CBIC FAQs.

Thus, even when warranty supplies do not involve supply, e-way bill is required to be generated. Further, value of parts exceed ₹50,000.

As per Section 36 of CGST Act, 2017 every registered person is required to maintain books of accounts as per Section 35(1) and retain them until expiry of 72 months from due date of furnishing annual return of year pertaining to such accounts and records.

However, registered person who is party to an appeal or revision or any proceeding before inter alia Appellate Authority or is under

investigation shall retain books of accounts and other records pertaining to subject matter of appeal or proceeding or investigation for period of

1 year after final disposal of such appeal or revision or proceeding or investigation or

for period specified above, whichever is later.

Due date for filing annual return of a financial year is 31 December of the next financial year as per Section 44.

Thus, due date for filling annual return of FY 2018-19 is 31 December 2019.

72 months from 31 December 2019 is 31 December 2025.

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Thus, Surgical Equipments shall maintain records and accounts pertaining to such appeal for

1 year from disposal of appeal
or
31 December 2025,

whichever is later.

Answer- 5.6

5.6.

(i) An entity not engaged in Financial services activity in India may make Overseas Direct Investment (ODI) in a foreign entity which is directly or indirectly engaged in financial Services activity (except banking or insurance) subject to condition that Indian entity has posted net profits during preceeding three Financial years.

Provided that Indian entity not engaged in insurance sector may make ODI in general and health insurance where insurance business is supporting core activity undertaken overseas by Indian entity.

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Thus, Surgical Equipments Ltd can make ODI in financial services activity in UK, as it is entity not engaged in financial services provided :-
it has reported profits in last 3 preceeding financial years
and
such investment is not in banking or insurance company.

further, ODI may be made or held by way of :-

(i) subscription to memorandum of association
or purchase of equity capital
(ii) acquisition through bidding or tender
(iii) acquisition by way of right issue or bonus.
(iv) capitalisation of amount due towards Indian entity
(v) swap of securities
(vi) merger, demerger, amalgamation or other scheme.

5.6.

(ii) A business model explains how a business works and economic logic behind it.

It is way of representating and communicating how organisation creates values for itself while delivery products or services for customers.

Christensen and Kaggerman extended scope of business model and proposed that business model also needs value proposition in addition to producing or making something and selling something as proposed by Margeretta.

Thus, three components of business model ~~are~~ adopted by SEL are :-

- value proposition
- profit formula
- key resources & processes

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Answer - 3.7

Q.3.7

Assessable Value

	US($)
Cost of Machine [Value of imported goods is transaction value as per Rule 3 of Custom Valuation (Determination of Value of Imported Goods) Rules, 2007]	40,000
Transport Charges and Handling Charges (Included as per Rule 10)	1000
License fee as condition of sale (10%)	4000
Freight from USA to India	4000
	$49,000

Converted into INR @ ₹82
(Rate of date on which bill of entry is filed u/s 46 as notified by CBIC)

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₹40,18,000

Lighterage Charges paid at Indian Port [Included as per Explanation to Rule 10(2)] 28,800

Insurance Charges (Where not ascertainable insurance charges include 1.125% of Free on Board Value of Goods. 41513

∴ FOB = 40,000 + 1000 + 4000
= $45,000

Insurance = $45,000 × 1.125%
= $506.25

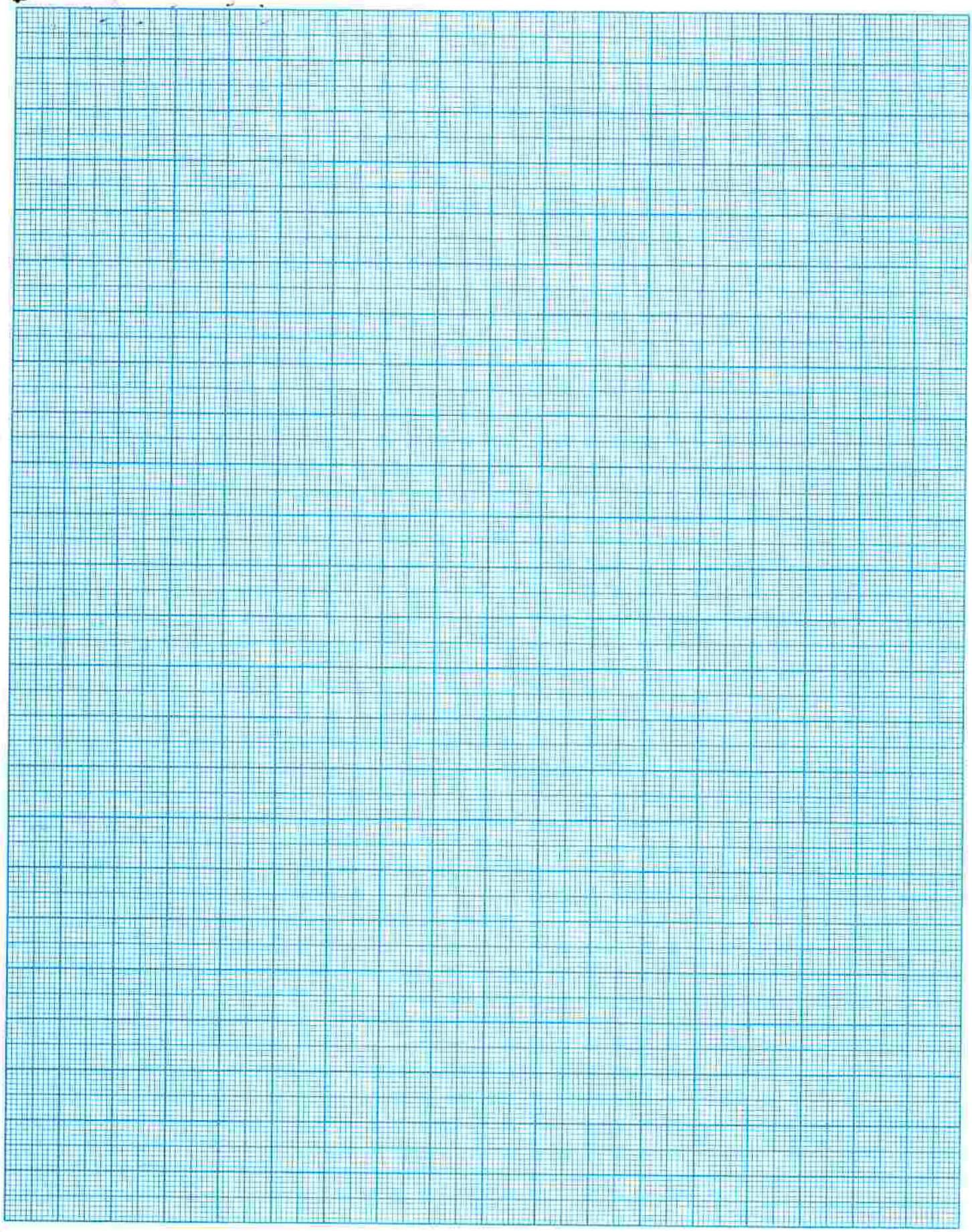
Converting in ₹ = ₹82/$ × $506.25)
= 41513 (approx.)

Unloading and Handling at Indian port @ (Not included under Rule 10) -

Warehousing Charges in India (These are not related to import, hence not included) -

Assessable Value	40,88,313
Basic Custom Duty @ 15%. (As per Section 15, rate for duty and valuation for goods cleared ~~for~~ home consumption from warehouse is rate on date on which bill of entry for home consumption is presented) (A)	613247
Social Welfare Surcharge (10% of 613247) (B)	61325
	4762,885
IGST @ 18% (C)	8,57,319

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Total IGST and Custom Duty Payable (A + B + C) 15,32,071

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Answer - 3.6 .

3.6 .

ABC purchases 12,00,000 units (sets) of components to manufacture 15,00,000 fans annually.
External Purchase price = ₹615/set

Cost structure of manufacturing will be as follows:

	₹
Direct Material	380
Direct Labor	60
Variable Factory Overhead (180 x 65%)	117
Total	557

Analysis:

If ABC decides to manufacture component in-house, it will impact as below:-

a) Production Capacity will increase from 15,00,000 fans to 16,50,000.

b) Variable Cost of Production of fan would be (₹ 3200 - 615) = ₹2585 ~~+ ₹4t~~.

c) Fixed Factory Overhead component of ₹63 per component would be incurred irrespected of whether product is produced or not. Therefore, cost is not considered.

d) Increase in advertising would be ₹36,00,000

e) Further, Variable marketing cost of ₹4/unit will be incurred.

f) Selling Price would reduce to 3500 x 98% = ₹3430 per fan.

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g) Current Contribution p.u.

Selling Price	3500
(-) Variable Cost	(3200)
	₹300 p.u.

h) New Contribution p.u.

Selling Price.	3430
(-) Variable Cost of Production (excluding procurement cost)	(2585)
(-) Variable Cost of Manufacturing Component*	~~(557)~~ ~~(696.25)~~ (445.6)
~~(557/set x 15 fans/12 sets) fan~~	
~~(-) Marketing Cost~~	~~(4)~~ .
(-) Increasing in Variable Marketing Cost	(4)
Contribution p.u.	~~444.75 p.u.~~ 395.4 p.u.

*(One fan requires ~~1.25~~ 0.8 sets of blades)
(12/15 = 0.8) ∴ Cost p.u. of fan
557 x 0.8

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Current
Contribution ₹300 p.u. × 15,00,000

= ₹45,00,00,000

New
Contribution ₹395.4 p.u. × 16,50,000

= ₹65,24,10,000

∴ Incremental Gain = ₹20,24,10,000

Further, incremental advertising cost
= ₹36,00,000

∴ Net Gain = 19,88,10,000

~~As gain~~ As switching to production in-house leads to gain, Company should make blades

Sensitivity = $\frac{19,88,10,000}{1320,000 \text{ sets}}$ = ₹150.61/set

$\frac{150.61}{615} \times 100$

∴ 24.49%

i.e. if price reduced by 24.49% decision to buy or make will be indifferent.

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Answer - 3.8

Q 3.8

Some of the technological risks to be considered by Mr. Amit are :-

- Need for ongoing training and education to keep up with latest technology
- Risk of data breaches and cyber-attacks which can compromise security and confidentiality of financial data
- Potential loss of jobs. However this can be mitigated by ensuring appropriate training.

- Reliance on systems / programs that inaccurately processing data, processing inaccurate data or both.
- Cybersecurity risks
- Risk introduced when using third-party service provider
- Potential loss of data or inability to access data as required
- Inappropriate manual intervention
- Failure to make necessary changes to ~~da~~ systems or programs
- Unauthorized changes to systems or programs
- Unauthorized or erroneous changes to data in master file.

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- Possibility of IT personnel gaining access privileges beyond those necessary to perform their duties, thereby leading to insufficient segregation of duties.

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Answer - 1.8

Q 1.8

As per IND AS 36 'Impairment of Assets'

A cash generating unit (CGU) to which goodwill has been allocated is tested for impairment both:-

- annually
- wherever there is indication that unit may be impaired

by comparing carrying amount of unit including goodwill with recoverable amount of unit.

If recoverable value exceeds carrying amount, unit and goodwill shall not be impaired.

However, if carrying amount exceeds recoverable value, entity recognises impairment loss.

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Thus, 'Wing W' should be tested for impairment annually as goodwill is allocated to it.

An impairment loss is recognised for CGU if recoverable amount is less than carrying amount.

Impairment loss is allocated in following order:-

- first, to reduce carrying amount of goodwill allocated to CGU and
- then, to other ~~of~~ assets of CGU, pro rata.

Thus, carrying amount of Wing W = 1200 lakh

adding carrying amount of goodwill = ₹400 lakhs.

(It is assumed that acquisition value and carrying amount of ₹2000 lakh and ₹1200 lakh respectively, excludes allocated goodwill amount)

Further, as goodwill cannot be amortised as per IND AS 38 and IND AS 103,

carrying amount of goodwill = ₹400 lakh

∴ Total Carrying Amount = ₹1600 lakh

Recoverable Value = ₹ 1100 lakh

As recoverable amount is less than carrying amount, Company will recognise impairment loss of ₹500 lakh.

This will be allocated to goodwill to extent of ₹400 Lakh. and remaining ₹100 lakh to 'Wing W'.

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Thus, revised carrying amount should be :-

Goodwill = 400 Lakh - 400 Lakh

= ~~₹0~~ Nil

Wing W = 1200 Lakh - 100 Lakh

= ₹ 1100 Lakh

Thus, showing Wing W at ₹ 1200 lakh is incorrect.

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Answer - 1.6

1.6

As per Section 164(2) of Companies Act, 2013 prescribes disqualifications which get attached to person if he is o has been director of company which has committed default as under :-

a) his company has not filed financial statements or annual returns for any continuous period of 3 financial years.
or
b) his company has failed to repay depost or pay interest thereon or redeem debentures on due date or pay interest or pay declared dividend and Failure continues for 1 year or more.

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In both cases, director concerned shall not be eligible to be re-appointed as director of defaulting company or appointed in some other company for period of 5 years from date of default.

As Radhika is director of PQR Ltd which has defaulted in filing financial statements for 3 financial years i.e. FY 2020-21, 2021-22 and 2022-23

Thus, Radhika is disqualified from holding the position of director when default is committed by PQR Ltd i.e. last day on which such financial statements for FY 2022-23 could be filed i.e. 30 September, 2023

Further, as per Section 167(1)(a) office director shall become vacant in case he/she incurs any of disqualification specified in Section 164.

Thus, Radhika's directorship in Life Education ltd stands vacated.

Further, as per ⊞ judgement of High Court of Kerela in Zacharia Maramkandathil Mohan v Union of India WP(C) No. 21628 of June 16, 2021 disqualification under Section 164(2) is temporary in nature, thus, any director can be eligible to appointed as director on making good the default mentioned in 164(2)(a) or (b).

Thus, as PQR ltd filed financial statements for FY 2022-23 on 8 May 2024, the default is made good.

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Thus, Radhika can be appointed as director in AGM held on 15 September, 2024.

Further, in

Manju Chamundeeswari v Union of India, WMP Nos. 28025 & 28027 of 2021

it was laid that in terms of Rule 11 of Companies (Appointment and Qualification of Directors) Rules, 2014

neither cancellation nor deactivation of DIN is provided upon disqualification u/s 164(2) and such deactivation would be contrary to ~~to~~ ~~as~~ section 164(2) read with Section 167(1) in as much as person concerned would continue to be director of defaulting company.

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Thus, DIN of Radhika will not be deactivated

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Answer - 1.7

1.7

In order to indicate efficiency of management on basis of Summary financial statements, using financial performance measures like Economic Value Added (EVA)

EVA is performance measurement system aims to overcome limitations of other systems.

EVA is calculated as difference between Net Operating Profit After Tax and Oppurtunity cost of ~~WACC~~. Invested Capital

EVA = NOPAT - WACC × Capital

(A) WACC

WACC = $w_d k_d + w_e k_e$

Debt = 300 lakhs

Equity = ~~1800~~ 1800 lakhs (1500 + 300 ~~- 50 lakh bad debt~~)

k_d = 15% × ~~f0.1716~~ (1 - 0.1716)*

= 12.426%

k_e = 9%

$$WACC = \frac{300}{2100}(12.426) + \frac{1800}{2100}(9)$$

= 1.775 + 7.714

= 9.489 ≅ **9.49%**

Rate of tax under 115BAB of Income Tax Act, 1961 = 15% + 10% Surcharge + 4% Less = 17.16%

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However invested capital will be reduced by bad debt provision.

∴ Invested Capital = 1800 + 300 + 50

= ₹2150 lakh.

NOPAT = PAT + Interest (1 − t)

EBT × (1 − t) + 100 (1 − 0.1716)

However EBT to be considered after adding back bad debt provision

EBT = 600 + 50

= 650 lakh

NOPAT = 650 (0.8284) + 82.84

= 621.3

EVA = NOPAT (-) WACC · IC

= 621.3 - (9.49%) (2150)

= 621.3 - 204.035

417.265 lakhs *.

As EVA is positive, management of Life Education Ltd is operating efficiently.

* NOPAT can also computed as
EBIT(1-t) = 641.42
∴ EVA = 437.385 lakhs.
which is still positive.

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